THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 7 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 2

Chapter 12: **Understanding Markets** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. An exporter earns dollars and wants rupees. He must 1

(a) wait **(b)** exchange them at the exchange rate
(c) burn **(d)** hide

2. Which of these is a sign of a competitive market? 1

(a) single buyer **(b)** single seller
(c) many sellers and buyers **(d)** no price

3. A drop in demand for woollens in summer will make shopkeepers 1

(a) increase stocks **(b)** raise prices
(c) offer discounts **(d)** stop selling cotton

4. The use of a bill when buying goods helps in 1

(a) claiming warranty or refund **(b)** avoiding payment
(c) avoiding tax **(d)** avoiding seller

5. A buyer compares the prices at three shops and buys from the cheapest. This is an example of 1

(a) barter **(b)** monopoly
(c) tax **(d)** informed consumer choice

6. A farmer stores tomatoes in a cold storage and sells after a month. The risk is 1

(a) price may or may not rise **(b)** prices always rise
(c) prices always fall **(d)** no cost

7. Why would a seller at a haat prefer cash over credit? 1

(a) quick, certain payment **(b)** credit is free
(c) cash is rare **(d)** cash is heavy

8. What does the Hampi bazaar tell us about Vijayanagara? 1

(a) a harbour only **(b)** a desert
(c) a rich trading economy **(d)** a poor village

9. **Assertion (A):** Exporting goods earns foreign exchange for a country. 1
Reason (R): Exporting means buying goods from another country.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

10. **Assertion (A):** A retailer sells goods in bulk to factories. 1
Reason (R): A wholesaler buys goods in large quantities from producers.
Choose the correct option:
(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. What is the risk of buying unmarked goods? 2

12. Why do street vendors matter to cities? 2

13. How do cooperative societies help farmers? 2

14. Why is e-commerce growing? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Analyse the role of middlemen in agricultural markets. 3

16. Examine the effect of imports on local producers. 3

17. Analyse how festivals change the markets. 3

OR

Examine the effect of online platforms on small shopkeepers. 3

18. Discuss the advantages of cooperatives in market access. 3

OR

Evaluate the pros and cons of fixed prices. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. **Case study.** In January, a shop in Shimla sells woollen jackets at Rs 1,500. In March, the weather turns warm, few customers come and the shopkeeper offers a 40 percent discount. Meanwhile, tomato sellers in a weekly haat lower prices at sunset. 5
(i) What is the quantity buyers are willing and able to purchase called?
(ii) What is the quantity sellers are willing to sell called?
(iii) What was the price of a jacket after the 40 percent discount?
(iv) Why do sellers reduce prices when demand falls?

20. Discuss the benefits and risks of online markets for consumers and sellers. 5

OR

Evaluate consumer protection and the importance of awareness. 5

END OF QUESTION PAPER — Total: 40 Marks

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